

states **ANDHRA PRADESH**

Reality CHEQUE

Chanting the rural mantra pays for Chief Minister Reddy but now he has to live up to the many promises he made

| By Amarnath K. Menon |

When the two-phase polling in Andhra Pradesh ended on April 23, Chief Minister Y.S. Rajasekhara Reddy, unusually for a Congressman, said "whether it is victory or defeat, I'm solely responsible". If that tentative statement betrayed the nervousness of an incumbent fighting for a second consecutive term, the results only proved that Reddy's instincts were on the right side. In a state where the Congress remained demoralised for two decades due to frequent changes of chief ministers imposed by the High Command, Reddy remains an exception as he moves into his sixth consecutive year in office.

During the campaign, Reddy laid emphasis on all that his Government did since the day he signed the file to offer uninterrupted supply of electricity, free of cost, to farmers and write off their power bills, moments after being sworn in on May 14, 2004. He did not budge from his stand to make any fresh promises even when doughty rivals N. Chandrababu Naidu and Telugu filmworld's megastar Chiranjeevi offered high hopes to voters. This time Reddy has signed two files, offering bigger sops to farmers and the rural poor—increase in electricity supply from seven to nine hours a day, free of cost, to farmers with immediate effect and increase in the monthly entitlement of rice to the poor through the public distribution system from 20 to 30 kg a month from October.

"My Government would repay the faith reposed in us by implementing the welfare schemes with greater transparency," declared Reddy.

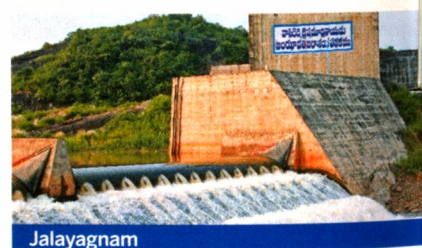
There are no worries about the financial burden the schemes impose on the state. With the enhancement of the quota of rice, the Government would require an additional quantity of 54.54 lakh tonnes to cater to 1.93 lakh cardholders at an extra cost of Rs 2,400 crore. The Government made an allocation of Rs 3,000 crore as subsidy for

Rs 1.50 lakh crore

is the budget of the Jalayagnam scheme that seeks to take up around 91 irrigation projects across Andhra Pradesh.

supply of rice in the vote-on-account budget in February. On the power front, Reddy is providing relief to 26.81 lakh agricultural consumers by assuring nine-hour supply, involving an estimated budgetary implication of Rs 1,536 crore. The sops that he announced will cost the state exchequer an additional Rs 4,000 crore.

His top priority, however, for the next five years is the Jalayagnam mission to make the state what he describes as 'harita' Andhra Pradesh. But making this a reality by commissioning irrigation projects with massive funding is a daunting



Jalayagnam

challenge. At stake are 91 irrigation projects, taken up at a cost of Rs 1.50 lakh crore, for which the foundations have already been laid. Though the Finance Minister Konijeti Rosaiah had presented a state budget of Rs 1 lakh crore for 2008-09, the Government was able to spend only Rs 78,000 crore. Also, the overall debt stands at Rs 1,17,000 crore. Clearly, there is a crisis looming large over the state's finances.

This financial year, several departments are worried about raising funds for meeting targets set for completion of irrigation projects as well as imple-